



Occupational Certificate: Financial Markets Practitioner

MODULE 1: INTRODUCTION TO FINANCIAL MARKETS



TABLE OF CONTENT

Purpose of a study guide	2
CHAPTER 1:	3
OVERVIEW OF THE FINANCIAL SERVICES SECTOR	3
1.1 The financial system.....	3
1.2 Financial institutions' role in the global economy	6
1.3 How the economic machine works.....	7
1.4 Financial instruments / products.....	8
1.5 History of financial markets.....	9
1.6 Financial markets	9
CHAPTER 2:.....	13
FINANCIAL MARKETS ROLE PLAYERS	13
2.1 Regulatory authorities.....	14
2.2 Twin peak regulatory framework	15
2.3 Stock exchanges	15
2.4 Central security depository	16
2.5 Financial intelligence centre (fic).....	16
2.6 Issuers	16
2.7 Transfer securities.....	17
2.8 Investors.....	17
2.9 Exchanges.....	17
2.10 Central security depositories	18
2.11 Clearing houses.....	18
2.12 Trade associations and professional bodies.....	18
Additional Resources.....	19

PURPOSE OF A STUDY GUIDE

A study guide serves as a valuable tool for students to navigate through their academic journey with clarity, direction, and efficiency. Its purpose is multifaceted, aiming to enhance learning outcomes, facilitate effective studying techniques, and promote academic success. By providing a structured roadmap, comprehensive resources, and strategic guidance, a study guide empowers students to optimise their learning experiences and achieve their educational goals.

INTRODUCTION

Financial institutions are a pillar of civilized society, directing resources across space and time to their best uses, supporting and incentivising people in their productive ventures and managing the economic risk they take on. The workings of these institutions are important to comprehend if we are to predict their actions today and their evolution in this digital age.

This module provides a conceptual framework for understanding how the financial system works and will cover the following sections:

- Chapter 1: Overview of the financial services sector
- Chapter 2: Role players in the financial services sector and their interactions

CHAPTER 1:

OVERVIEW OF THE FINANCIAL SERVICES SECTOR

Topics covered in this chapter include:

- What are the financial markets?
- The role of the financial markets in the economy
- The link between the local and international financial markets
- Investor's access to financial markets through financial products

Learning outcomes

- Explain the role of the financial markets in the relationship between savers/investors, borrowers and issuers
- Explain the role of the financial markets in the economy
- Assess the impact of international financial markets on the local markets
- Define the concepts of financial products and how product channels link investors to the financial markets

1.1 THE FINANCIAL SYSTEM

The financial system plays a key role in the economy by stimulating economic growth, influencing economic performance of the actors, affecting economic welfare. This is achieved by financial infrastructure, in which entities with funds allocate those funds to those who have potentially more productive ways to invest those funds. A financial system makes it possible for a more efficient transfer of funds. As one party of the transaction may possess superior information than the other party, it can lead to the information asymmetry problem and inefficient allocation of financial resources. By overcoming the information asymmetry problem the financial system facilitates balance between those with funds to invest and those needing funds.

The core functions of the financial system are:

- Producing information ex ante about possible investments and allocate capital
- Monitoring investments and exerting corporate governance after providing finance
- Facilitating the trading, diversification, and management of risk
- Manage risk and monitor investments
- Mobilizing and pooling savings
- Easing the exchange of goods and services

Financial sector development thus occurs when financial instruments, markets, and intermediaries ease the effects of information, enforcement, and transactions costs and therefore do a correspondingly better job at providing the key functions of the financial sector in the economy.

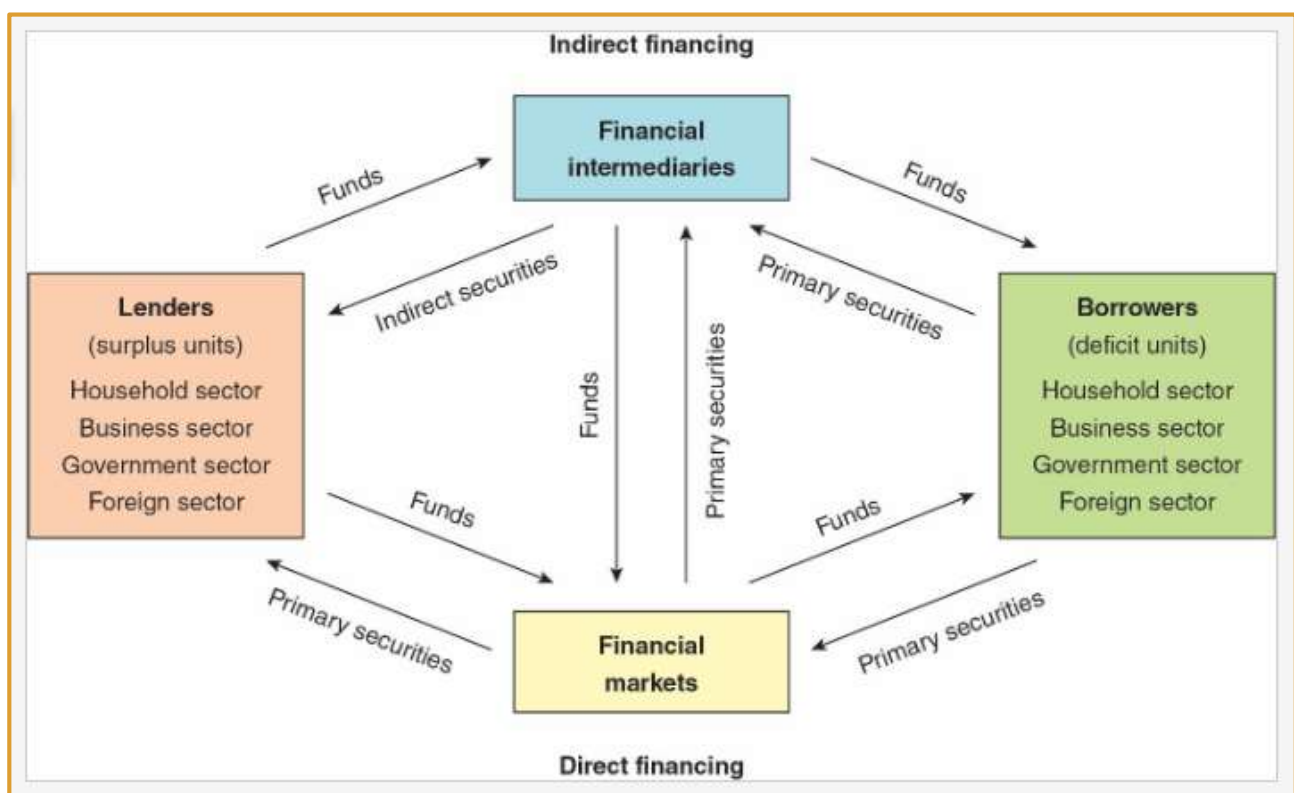
1.1.1 THE FLOW OF FUNDS AND FINANCIAL INTERMEDIATION

Flow of funds reflects the movement of funds from those sectors that are sources of funds or capital, through intermediaries (such as banks, mutual funds, and pension funds), to sectors that use the funds or capital to acquire physical or financial assets.

The financial system has four elements:

- lenders and borrowers;
- financial institutions;
- financial instruments and
- financial markets.

The interaction between these is shown in the figure below:



LENDERS AND BORROWERS

Lenders are the ultimate providers of savings while borrowers are the ultimate users of those savings. Both are non-financial entities and are referred to as surplus and deficit economic units respectively. Lenders can be referred to as investors in that they expend cash on the acquisition of financial assets such as bonds and shares and real or tangible assets such as land, buildings, gold, and paintings.

Lenders and borrowers can be categorised into four sectors:

- The **household sector** consists of individuals and families. In South Africa, it also includes private charitable, religious and non-profit bodies as well as unincorporated businesses such as farmers and professional partnerships.
- The **corporate sector** comprises all non-financial firms or companies producing and distributing goods and services.

- The **government sector** consists of central and provincial governments as well as local authorities.
- The **foreign sector** encompasses all individuals and institutions situated in the rest of the world.

DIRECT AND INDIRECT FINANCING.

Direct financing can only occur if lenders' requirements in terms of risk, return and liquidity exactly match borrowers' needs in terms of cost and term to maturity. Direct financing usually involves the use of a financial market broker who acts as a conduit between lenders and borrowers in return for a commission.

Indirect financing financial intermediaries perform indirect financing by making markets in two types of financial instruments - one for lenders and one for borrowers. To lenders they offer claims against themselves known as indirect securities, tailored to the risk, return and liquidity requirements of the lenders. In turn they acquire claims on borrowers known as primary securities. Thus, the surplus funds of lenders are invested with financial intermediaries that then re-invest the funds with borrowers.

FINANCIAL INTERMEDIARIES

Financial intermediaries act as middlemen between savers and spenders. They are financial intermediaries are financial institutions expedite the flow of funds from lenders to borrowers.

Providers and users of capital often rely on financial intermediaries to find each other and to channel funds between each other.

Matching savers and borrowers and monitoring borrowers' behaviour and financial health are functions that financial intermediaries can perform better and more cheaply than most investors can do on their own.

They play a pivotal role in indirect financing. Examples of financial intermediaries include:

- **Banks:** intermediaries licensed to accept deposits, give loans and offer many other financial services to the public. They play a major role in the economic stability of a country, and therefore face heavy regulations.
- **Insurance companies:** help people and companies hedge their risks by underwriting contracts that pay out in the event of losses from a wide variety of causes. Insurance companies basically transfer the risk from the buyers of the insurance contracts to the insurance company's creditors and shareholders.
- **Pension funds:** collect funds on behalf of members, invest funds in financial markets and distribute payments to pensioners.
- **Collective investment schemes:** collective investment schemes pool the funds of many small investors and re-invest the funds in shares, bonds and other financial assets with each investor having a proportional claim on such assets. Collective investment schemes play a risk diversification role in that they spread the risk by investing in number of different securities.

- **Asset managers:** institutions making professional investment decisions on behalf of their clients.
- **Stockbrokers:** institutions that will execute trades on the stock exchange on behalf of clients
- **Custodians:** institutions that holds client's securities for safekeeping in order to minimise the risk of their loss or theft
- **Financial advisors:** Offer specialist advice to help investors achieve their financial objectives

OTHER SERVICES PROVIDED BY FINANCIAL INTERMEDIARIES

Other services that can be provided by financial intermediaries include:

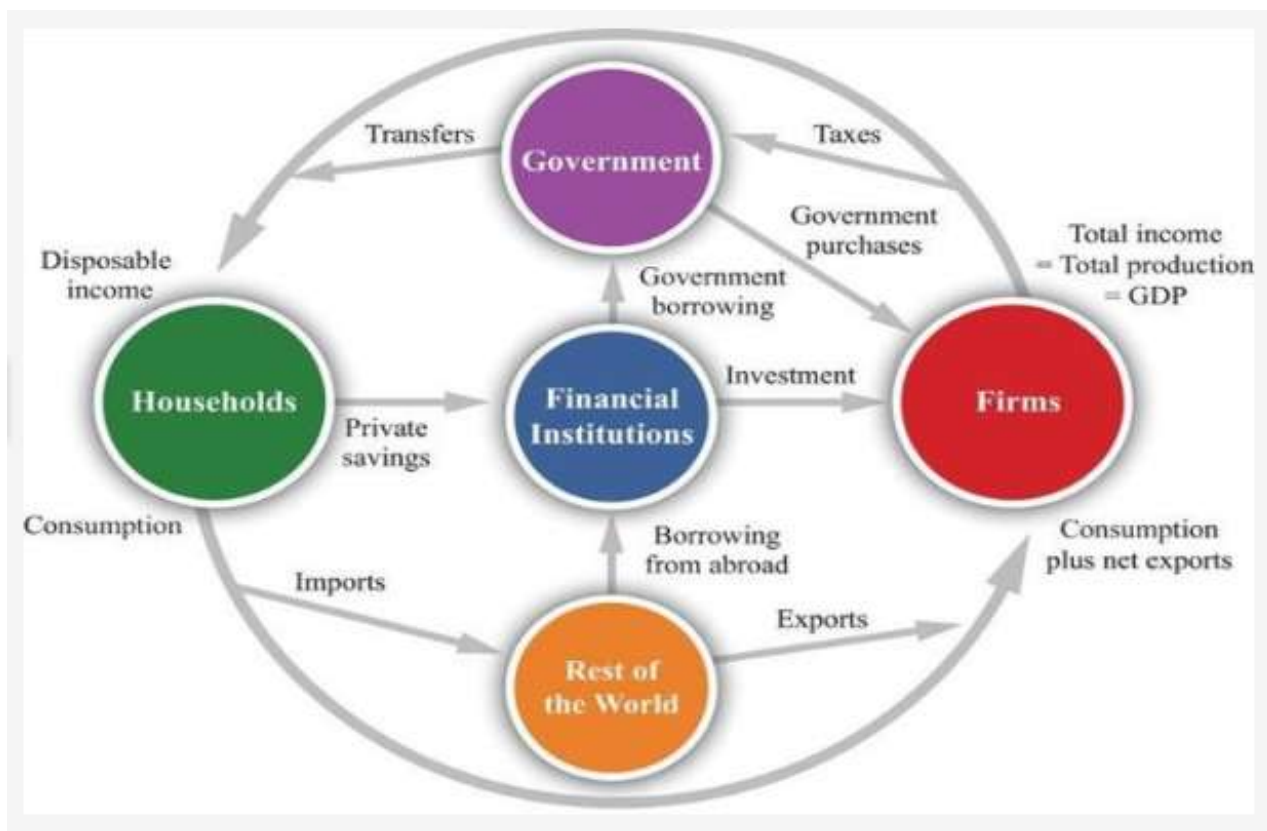
- Facilitating the trading of financial assets for the financial intermediary's customers through brokering arrangements.
- Facilitating the trading of financial assets by using its own capital to take a position in a financial asset the financial intermediary's customer want to transact in.
- Assisting in the creation of financial assets for its customers and then either distributing those financial assets to other market participants.
- Providing investment advice to customers.
- Manage the financial assets of customers.
- Providing a payment mechanism.
- Risk diversification.

1.2 FINANCIAL INSTITUTIONS' ROLE IN THE GLOBAL ECONOMY

Financial institutions provide access to capital, facilitate economic growth, manage risk, promote financial inclusion, and support government policies. Without these institutions, the economy would not be able to function effectively.

The picture below shows the pivotal role that financial institutions play in the global economy. When "financial intermediaries" stop working, the entire economy grounds to a halt.

The financial intermediary is an organisation which acts as a link between the investor and the borrower, to meet the financial objectives of both the parties. These are business entities that accept deposits from the depositors or investors (lenders) by allowing them low interest on their sum. Further, these organisations, lend this amount to the individuals and firms (borrowers) at a comparatively high rate of interest to make their margin.



1.3 HOW THE ECONOMIC MACHINE WORKS



WATCH the Video:

How the Economic Machine Works

Based on a practical template for understanding the economy, the video breaks down economic concepts like credit, deficits and interest rates, and the basic driving forces behind the economy, how economic policies work, and why economic cycles occur.

1.4 FINANCIAL INSTRUMENTS / PRODUCTS

Financial instruments or claims can be defined as promises to pay money in the future in exchange for present funds i.e., money today. They are created to satisfy the needs of financial system participants and because of financial innovation in the borrowing and financial intermediation processes, a wide range of financial instruments and products exists.

Financial assets, often called financial instrument are intangible assets, which are expected to provide future benefits in the form of a claim to future cash. Some financial instruments are called securities and generally include stocks and bonds.

There are two categories of financial instruments and markets:

- **Primary market securities.** Securities that are directly issued by the companies (issuers) to investors. Securities are issued either by an Initial Public Offer (IPO) or a Further Public Offer (FPO)
- **Secondary market securities.** The secondary market is where investors trade securities that were previously issued in the primary market There are two main types of secondary markets:
 - exchange-traded markets and
 - over the counter (OTC) markets.

There are two types of primary- and secondary securities:

- Marketable instruments can be traded in secondary markets
- Non-marketable cannot be trade

Marketable Securities	Non-marketable Securities
▪ Bills of exchange ▪ Promissory notes ▪ Commercial paper ▪ Company debentures ▪ Treasury bills ▪ Government bonds ▪ Shares of listed companies ▪ NCD's	▪ Hire-purchase and leasing contracts ▪ Vehicle or auto loans ▪ Mortgage advances ▪ Overdrafts ▪ Personal loans ▪ Shares of non-listed companies ▪ Bank Notes (Issued by central Bank) ▪ Savings accounts ▪ Term or fixed deposits ▪ Insurance policies

Any transaction related to financial instrument includes at least two parties:

- the party that has agreed to make future cash payments and is called the issuer.
- the party that owns the financial instrument, and therefore the right to receive the payments made by the issuer, is called the investor.

Financial assets provide the following key economic functions.

- they allow the transfer of funds from those entities, who have surplus funds to invest to those who need funds to invest in tangible assets;
- they redistribute the unavoidable risk related to cash generation among deficit and surplus economic units.

The claims held by the final wealth holders generally differ from the liabilities issued by those entities who demand those funds. The role is performed by the specific entities operating in financial systems, called financial intermediaries. The latter ones transform the final liabilities into different financial assets preferred by the public

These investment products are discussed in more detail in the Investment Vehicles Module and include:

- Bonds
- Shares
- Derivatives
- Real estate
- Private equity
- Commodities

1.5 HISTORY OF FINANCIAL MARKETS

The financial markets are such a big part of how the world operates today. But, once upon a time, they didn't exist! So how did the financial markets get started?

What was the first stock exchange and what securities were traded? Let's find out...



WATCH the Video:

How Were the Financial Markets Created?

1.6 FINANCIAL MARKETS

Financial markets are the institutional arrangements, mechanisms, and conventions that exist for the issuing and trading of financial instruments.

Financial markets can be classified in a number of ways including:

- **Cash and derivatives markets:** cash markets include those in which financial and physical assets are traded (including foreign exchange, money market, bond, equity, commodity, and property assets). Derivative markets are financial instruments whose value is derived from the values of other variables (these variables can be the underlying financial or physical assets in the cash market).
- **Spot and forward markets:** In the spot market financial instruments are traded for immediate delivery and payment (or according to specific market conventions), while in the forward market contracts are entered into to buy or sell financial instruments at a specified price at some future date for future delivery.
- **Primary and secondary markets:** The primary market is the market for the original sale or new issue of securities, while the secondary market is the market in which previously issued securities are resold.

- **Financial exchanges and over-the-counter markets:** Exchanges are formal marketplaces where financial instruments are bought and sold, while in over-the-counter markets, financial transactions are concluded off formal exchanges through private negotiation between buyers and sellers.
- **Interbank markets:** The wholesale money market for the offering of deposits between banks in a range of different currencies, usually for periods less than 12 months.



1.6.1 FINANCIAL MARKETS AND THEIR ECONOMIC FUNCTIONS

Financial markets provide the following three major economic functions:

- **Price discovery** function means that transactions between buyers and sellers of financial instruments in a financial market determine the price of the traded asset. At the same time, the required return from the investment of funds is determined by the participants in a financial market. The motivation for those seeking funds (deficit units) depends on the required return that investors demand. It is these functions of financial markets that signal how the funds available from those who want to lend or invest funds will be allocated among those needing funds and raise those funds by issuing financial instruments.

- **Liquidity** function provides an opportunity for investors to sell a financial instrument since it is referred to as a measure of the ability to sell an asset at its fair market value at any time. Without liquidity, an investor would be forced to hold a financial instrument until conditions arise to sell it or the issuer is contractually obligated to pay it off. A debt instrument is liquidated when it matures, and an equity instrument is valid until the company is either voluntarily or involuntarily liquidated. All financial markets provide some form of liquidity. However, different financial markets are characterised by the degree of liquidity.
- The function of **reduction of transaction costs** is performed, when financial market participants are charged and/or bear the costs of trading a financial instrument. In market economies the economic rationale for the existence of institutions and instruments is related to transaction costs, thus the surviving institutions and instruments are those that have the lowest transaction costs.

A well-functioning market is important for the development of the economy.

The following is a short video on the purpose of the financial markets.



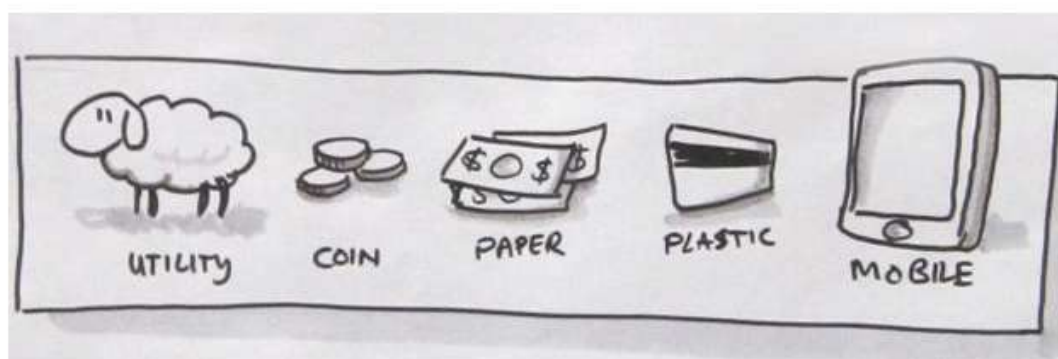
WATCH the Video:

Financial Markets

1.6.2 THE DEVELOPMENT OF FINANCIAL MARKETS

Money came into being as a means of exchange to satisfy the inefficiencies of the barter system in our world's early history. Money, which over the years has progressed from cowry shells, gold, and silver to paper, plastic and electronic means, should have the following characteristics:

- **Means of exchange:** money alleviates the need for a 'double coincidence of wants' inherent in a barter system and therefore satisfies the different needs of the buyers and sellers and allows comparison of values of dissimilar objects.
- **Store of value:** money must be able to be reliably saved, stored, and retrieved and maintain a stable value over time.
- **Unit of account:** each unit of money must represent a certain asset value, be identical to units of the same denomination and units representing large amounts must be able to be divided into smaller units. This is especially important for quoting and bargaining of prices and for the development of efficient accounting systems.



The first banks brought specialised knowledge to the lending of money, which in turn reduced search costs for those wishing to engage in business lending. Bankers with expertise in lending, combined with their requirement for diversification, offered savers the complete reassurance that if they deposited their money in a bank that it would be returned to them whenever they demanded it, and that deposited amount could earn some interest. Banks made profits by lending money at a considerably higher interest rate than that offered to depositors. Banks also brought the benefits of allowing money to be transferred between accounts.

CHAPTER 2: FINANCIAL MARKETS ROLE PLAYERS

Topics covered in this chapter include the roles and interactions between:

- Regulators
- Issuers
- Transfer secretaries
- Investors
- Exchanges
- Central Security Depositories (CSDs)
- Intermediaries including banks, insurance companies, retirement funds, asset managers, stockbrokers, custodians, financial advisors
- Trade associations and professional bodies
- National Treasury
- The central bank

Learning outcome: On completion of this learning unit you will be able to:

- Explain the roles of the following regulatory authorities: National Treasury, the Conduct Authority, the Prudential Authority, exchanges, the CSD, the anti-money laundering authority
- Explain and differentiate the roles and functions of the multiple South African exchanges
- Explain the roles of issuers and the means of raising capital
- Explain the different means that companies have to raise capital
- Evaluate the obligations and costs associated with each method of raising capital
- Explain the role of secondary markets
- Explain the role of transfer secretaries
- Explain the difference between retail and institutional clients
- Explain the role of intermediaries and their trade associations and professional bodies
- Explain the history and structure of financial services
- Explain the influence of the different role players on the economy

2.1 REGULATORY AUTHORITIES

The high-level objectives for regulators of the financial system are to ensure financial stability, the protection of customers, market integrity and financial inclusion.

The Financial Sector Regulation Act 9 of 2017 ('FSRA'), which was signed into law in August 2017, completely overhauled the regulation of South Africa's financial system. While this legislation will be discussed in more detail in Module 8, it is important to understand at this stage that the FSRA divided financial regulation into prudential regulation and conduct regulation, with two separate regulatory bodies.



The roles of the South African regulatory authorities are introduced in this chapter but will be discussed in more detail in Module 8.

2.1.1 OBJECTIVES OF REGULATION

- Protect consumers
- Promote capital formation
- Prevent systemic failure
- Ensure fair and orderly markets
- Increase the efficiency of market operations
- Achieve social objectives (e.g. prevent money laundering)

2.1.2 MINISTRY OF FINANCE

The Ministry of Finance, a governmental department, is responsible for a range of state entities that aim to advance economic growth and development in order to strengthen South Africa's democracy. Included under the Minister of Finance's remit are the following entities:

- National Treasury
- The South African Revenue Services (SARS)
- The Public Investment Corporation (PIC)
- The Government Employees Pension Fund (GEPF)
- The Financial Intelligence Centre (FIC)
- The Financial Services Conduct Authority (FSCA)

2.1.3 NATIONAL TREASURY

Manages South Africa's national government finances. The main functions of the National Treasury are:

- Promote governments' fiscal policy
- Co-ordinate macro-economic policy
- Manage the budget preparation process
- Facilitate the revenue act

2.1.4 SOUTH AFRICAN RESERVE BANK

The South African Reserve Bank is the central bank of South Africa and its primary aim is "to achieve and maintain price stability in the interest of balanced and sustainable economic growth in South Africa."

(source: www.resbank.co.za)

The Reserve Bank is responsible for:

- formulating and implementing monetary policy
- issuing banknotes and coin
- supervising the banking sector
- ensuring the effective functioning of the national payment system
- managing official gold and foreign-exchange reserves
- acting as banker to the government
- administering the country's remaining exchange controls
- acting as lender of the last resort in exceptional circumstances

2.2 TWIN PEAK REGULATORY FRAMEWORK

Twin Peak model divides regulation of financial institutions between SARB and FSCA.

Objectives of the model:

- Strengthen consumer protection and market conduct
- Create a stable financial system

2.3 STOCK EXCHANGES

In South Africa, the Johannesburg Stock Exchange (JSE) regulates most trading in equities and bonds. The JSE acts as the frontline regulator, setting listings requirements and enforcing trading rules. Under the twin peaks model, the prudential authority is responsible for prudential supervision market infrastructures (e.g. exchanges and clearing houses), while the FSCA is responsible for the supervision of the conduct of market infrastructures. To this effect the FSCA supervises the JSE in the commission of its regulatory duties and, as the JSE has no criminal or civil jurisdiction, processes any cases where legislation has been contravened.

Four additional stock exchanges have been licensed for equities and these include:

- ZARX
- 4AX
- A2X
- Equity Express Securities Exchange (EESA)

2.4 CENTRAL SECURITY DEPOSITORY

The role of a central security depository (CSD) is to maintain records of all purchases and sales of securities on organised exchanges within the country. In South Africa, this function is performed by STRATE (Share Transactions Totally Electronic) and Granite.

CSD's are governed by the Financial Markets Act, 2012 (FMA), and are overseen by the Financial Services Conduct Authority (FSCA) and Prudential Authority. CSD's, in terms of the FMA are responsible for the supervision of the compliance by CSD participants with the depository rules.

2.5 FINANCIAL INTELLIGENCE CENTRE (FIC)

The Financial Intelligence Centre (FIC) is South Africa's national centre for the receipt of financial data, analysis, and dissemination of financial intelligence to the competent authorities.

The FIC was established by the Financial Intelligence Centre Act, 2001 (Act 38 of 2001) (FIC Act), and has the mandate to identify the proceeds of crime, combat money laundering, and terror financing.

The FIC Act introduces a regulatory framework of measures requiring certain categories of business to take steps regarding client identification, record-keeping, reporting of information, and internal compliance structures. The Act obliges all businesses to report to the FIC various suspicious and certain other transactions. The FIC uses this financial data and available data to develop financial intelligence, which it is able to make available to the competent authorities and supervisory bodies for follow-up investigations or administrative action.

All accountable and reporting institutions are required to register with the FIC. The FIC and supervisory bodies have the authority to inspect and impose administrative penalties on non-compliant businesses.

2.6 ISSUERS

An issuer is a legal entity that originates, registers and sells securities on regulated stock exchanges, in order to finance its operations. Issuers may be governments or companies.

Issuers are legally responsible for their obligations of the issue and for reporting financial conditions, material developments, and any other operational activities that are required by law or by the rules governing the stock exchange.

The most common types of securities issued when an issuer raises capital are equity and debt. The differentiating characteristics of these types of capital, obligations, costs, and factors that an issuer needs to evaluate when determining whether to raise capital through equity and debt are discussed in detail in **Module 2 (Equity securities)** and **Module 3 (Debt securities)**.

2.7 TRANSFER SECURITIES

Transfer agents are appointed by an issuer to maintain the records of legal ownership of the company's securities.

They also ensure that companies' interest, dividends, and other distributions get paid to the right holders of stocks and bonds.

2.8 INVESTORS

An investor is a financial market participant who purchases securities that have been issued by companies/ governments in the belief that their capital will increase in value over time. At the highest level investors can be classified as follows:

- **Retail investors** are individuals who invest on their own account (rather than on behalf of a company or an institution) and are often not a professional in financial services. These individuals may decide on their own investment strategy or may draw on the services of a financial intermediary (e.g. a financial advisor) to finalise how their money is allocated across different investment strategies.
- **Institutional investors** are institutions (rather than individuals) that invest in financial markets, channeling the investments of several smaller investors so that there is a pooling of the investments. Institutional investor is a generic term that broadly includes pension funds, insurance, and life assurance companies and pooled funds/collective investment schemes.

2.9 EXCHANGES

Stock exchanges play a vital role in the functioning of the economy by providing the platform for companies to raise money to expand and also providing investors the ability to invest in companies. Stock exchanges are governed by law and their rules and regulations are designed to ensure market transparency and price discovery.

Stock exchanges also facilitate the trading of securities between buyers and sellers in the secondary market (after the initial offering in the primary market). The secondary market creates liquidity for all investors and facilitates lower transaction costs due to high volumes of transactions. The secondary market prices adjust very quickly to any development in the security/issuer and this helps with price discovery.

A stock exchange has certain responsibilities to the general public for example ensuring an orderly market, distributing information, facilitating clearing and settlement, and protecting the interest of investors.

2.10 CENTRAL SECURITY DEPOSITORIES

A Central Securities Depository (CSD) is an institution that holds all the securities for a particular market in a dematerialized format. This allows for ownership of the securities to be transferred in electronic format through the updating of electronic records rather than through the exchange of physical share certificates. Examples in South Africa include STRATE and Granite.

CSD's in South Africa also have the responsibility, imposed by the FMA, to supervise Participants who are authorised by the CSD to perform custody and administrative services or settlement services.

2.11 CLEARING HOUSES

The clearinghouse or CCP is a financial institution that acts as the counterparty to facilitate the exchange of payments, securities, or derivatives transactions between the buyer and seller. Its purpose is to act as a guarantor of contracts to reduce the risk of one party failing to honour its settlement obligations. In the case of exchange-traded derivatives in South Africa, JSE Clear (a clearinghouse for exchange-traded derivatives) is the clearinghouse that processes all trades executed on the exchange.

The clearinghouse is also responsible for determining the profit and loss on all open positions by revaluing them at the end of each business day at the closing contract prices traded on the exchange (referred to as marking-to-market).

2.12 TRADE ASSOCIATIONS AND PROFESSIONAL BODIES

Firms in the financial services industry join together in a number of groups to share expertise about concerns they have in common.

Examples in South Africa include the Banking Association of South Africa and ASISA.

ADDITIONAL RESOURCES

The resource listed below is a non-testable resource. However, it is resource that will provide students with hour of fun and enjoyment.

Books

- Traders, Guns and Money by Satyajit Das
- Too Big to Fail by Andrew Ross Sorkin
- The Big Short: Inside the Doomsday Machine by Michael Lewis (This is also a movie see below)

Movies

- The Big Short (2015): Based on the nonfiction book "The Big Short: Inside the Doomsday Machine" by Michael Lewis, this movie follows a few savvy traders as they become aware—before anyone else—of the housing bubble that triggered the financial crisis in 2007-2008
- Barbarians at the Gate (1993)
- Glengarry Glen Ross (1992)
- Rogue Trader (1999). This movie tells the true story of Nick Leeson, a trader who single-handedly caused the insolvency of Barings Bank, the world's second-oldest merchant bank
- Enron: The Smartest Guys in the Room (2005). Though the events contained in the documentary "Enron: The Smartest Guys in the Room" occurred more than 20 years ago, they still have the power to shock
- Margin Call (2011). "Margin Call" does little to hide its contempt for the reckless risks taken by some of the largest banks in the run-up to the 2008 financial crisis. It highlights the trading of complex derivative instruments that investment banks themselves barely understood.
- Wall Street (1987)
- TV series Billions
- The Bonfire of the Vanities